

Olist Marketplace: Revenue, Retention & Growth Levers

Executive summary · Brazilian e-commerce, 2017–2018 · 110,197 delivered order-items, 93,358 customers

The situation

Revenue grew strongly through 2017 and plateaued around R\$1.1M per month in 2018. Growth so far has come almost entirely from acquiring new customers, not from keeping existing ones. That model is expensive and fragile, and it is the central issue this analysis surfaces.

What the data shows

- **Retention is the core problem.** Only **3.0%** of customers ever place a second order (2,801 of 93,358). Cohort analysis shows repeat activity collapsing to near zero the month after a customer's first purchase.
- **Revenue is concentrated.** The top three categories (health & beauty, watches & gifts, bed/bath/table) and the southeast states, led by São Paulo, drive a large share of sales.
- **Delivery speed moves satisfaction.** Orders delivered within the 10-day median average **4.38/5** stars versus **3.93** for slower ones, and their 5-star rate is **66.6%** versus **51.5%**. The gap is statistically unambiguous (Welch $t = 55.4$, $p < 0.001$) with a small-to-moderate effect size (Cohen's $d = 0.36$).

Delivery group	Orders	Mean score	5-star rate
Fast (≤ 10 days)	49,622	4.38	66.6%
Slow (> 10 days)	45,919	3.93	51.5%

Recommendations

- **Treat delivery time as a satisfaction lever.** Prioritise faster fulfilment for the slow half of orders. Satisfied customers are the ones who return, so this directly targets the retention gap with evidence behind it.
- **Launch a post-purchase retention program.** With a 3% repeat rate, even small improvements (win-back emails, a second-order incentive within 30 days) compound. Focus first on the high-value one-time buyers flagged by RFM.
- **Concentrate marketing spend where revenue already lives:** the leading categories and the southeast region, while testing retention offers before widening acquisition.

Method: raw multi-table Olist data modelled in DuckDB (SQL), analysed in Python (pandas, scipy), visualised in an interactive Tableau dashboard. Scope: delivered orders with a positive item price; cohorts from Jan 2017 (2016 excluded as too sparse to be reliable). Full project and live dashboard: github.com/wassimomabrouk/retail-analytics.
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